reduced distortion, and thus enabled a higher level of GDP. The marginal cost of public funds would have come down. Government (at all levels) is an important buyer of goods and services, and the low 10 per cent rate would have generated a beneficial impact upon the expenditure side also, thus reducing the net impact on the budget. This is related to the mistaken focus on short-term revenue neutrality, when the right objective should have been long-term budget neutrality.

The human energy that was spent on negotiations about thousands of products could instead have been devoted to getting a simple administrative process done. The very simplicity of this tax policy would have made it easier to build the IT system, get payments done on time, match invoices as was done in the TIN in 2004, and integrate with GST-on-imports and zero-rated exports. Simplicity of tax policy would have created feasibility of sound tax administration, even at low levels of state capacity.

The leadership could have clearly said: *This is an experiment*. We are going to learn how to make this work, and we are here to discover how much this self-enforcing tax is going to yield in terms of tax revenues for the first two years. The leadership could have said to taxpayers: Comply with this 10 per cent rate and the rate will not go up, and all of us will be the beneficiaries.

The 10 per cent rate would have induced optimism on the part of the domestic and global private sector. India would have earned respect worldwide for having capabilities in policymaking. This would have fostered investment and thus GDP growth.

In the first two years, significant resource reallocation would have started taking place, with firms discovering more efficient ways of working. This would have fed back into higher GDP growth and thus tax revenues.

If these first two years had worked out well, that would be a triumph. If tax revenues were stubbornly low, the rate could have been raised from 10 per cent to 12 per cent. The right sequencing is to take on a harder problem (a higher tax rate) later in the game, as this requires greater state capacity.

There is an interesting and self-stabilizing phenomenon associated with a large tax shortfall at the 10 per cent rate. Suppose it became clear that 10